

Fearnleys Dry Bulk Weekly

Feb 4, 2026



Capesize/Newcastlemax

Any downside related to the CNY is not likely to be significant. The laden/ballaster ratio is quite low, and the South Atlantic tightness model shown below suggests the market is much closer to a bottom than a top.

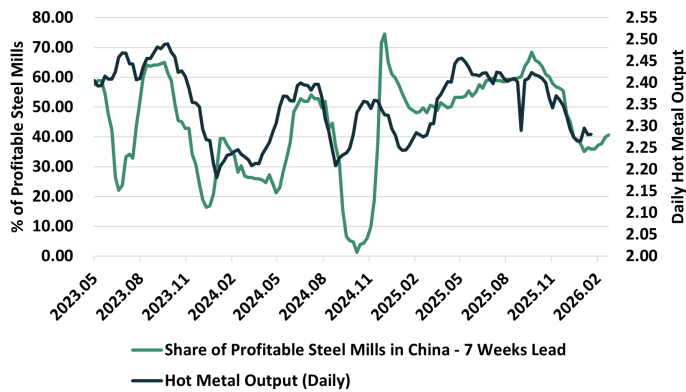
Top left chart: The share of profitable steel mills in China remains slightly below 40%, which suggests hot metal output will remain stable around current levels in the next few weeks.

Top right chart: Same situation as last week: "The iron ore price complex is giving mixed signals. Spot prices remain stable, but the 1st month minus 3rd month futures spread has dipped into a slight contango. The price spread between higher-grade Brazilian ore and Australian iron ore is low. The latter is often bullish for freight as it incentivises longer-haul shipments."

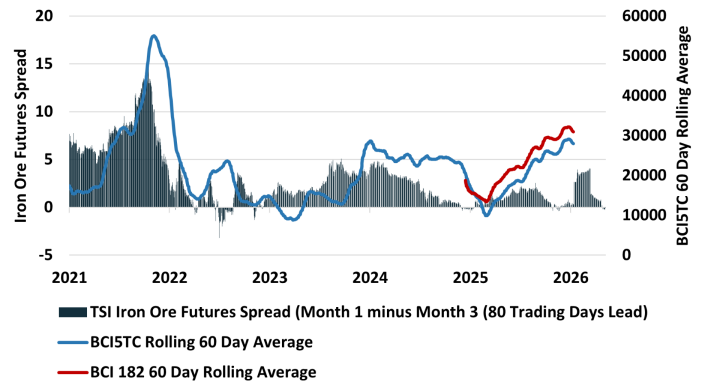
Bottom left chart: The South Atlantic tightness indicator suggests the market is close to bottoming.

Bottom right chart: The laden/ballast ratio has dropped significantly in the last few weeks. Market bottoms are usually seen when the ratio is below 100%. Yesterday the ratio was 107%.

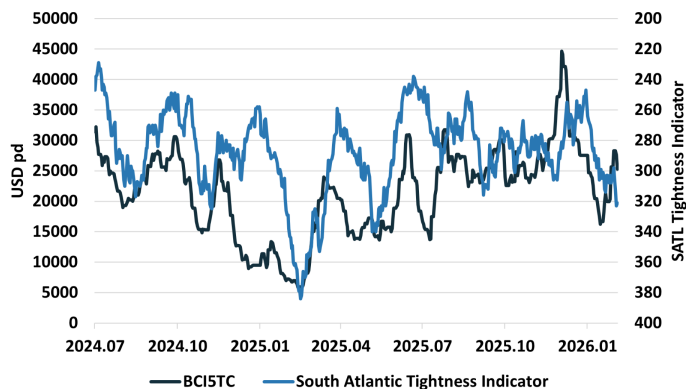
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



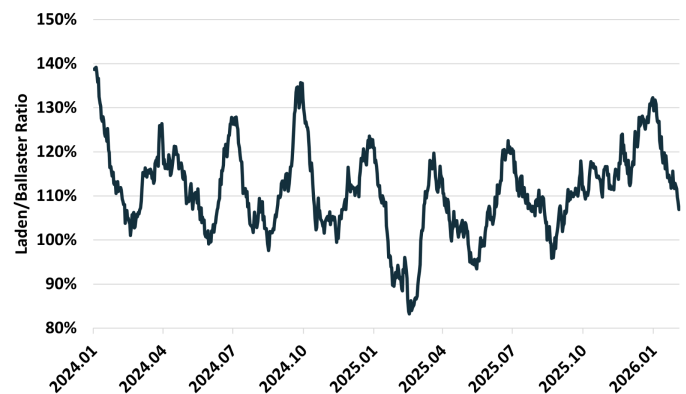
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio



Panamax/Kamsarmax

Last week we commented *"Indicators below still look bullish, but expect some flattening out or slightly downward move to occur around the Chinese New Year weeks. Then, we expect a resumption of the rally after that."*

The Indonesian export ban could cause short-term bearishness, but we do not expect it to be long-lasting. The main industry body in Indonesia is opposed to it, and will major buyers like China accept this without protest?

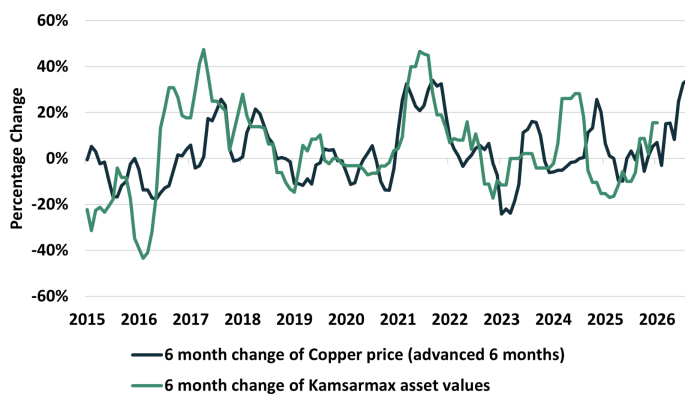
Top left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Top right chart: The coal futures curve remains stable and is still suggesting the market will rise. However, politics are currently interfering with market dynamics, meaning such indicators have less value. It remains to be seen how the export ban will play out.

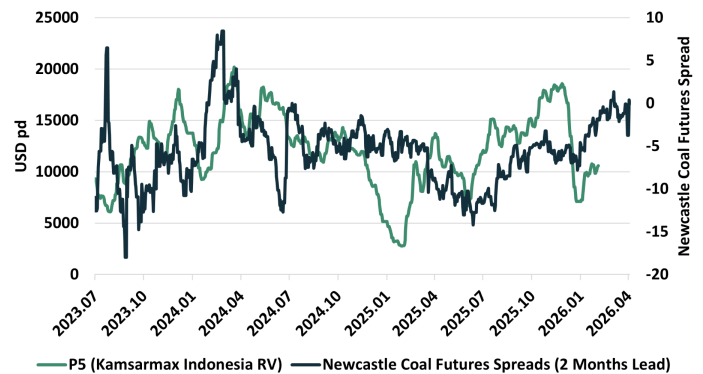
Bottom left chart: The chart shows the number of vessels in ballast to Indonesia. No dramatic changes to trace yet, but worth following going forward.

Bottom right chart: The SATL tightness indicator increased further last week, suggesting the market will continue to rally over the next month. A P6 index of 15-16kpd in Jan/early Feb means it is reasonable to expect it to go well above 20kpd in March/April.

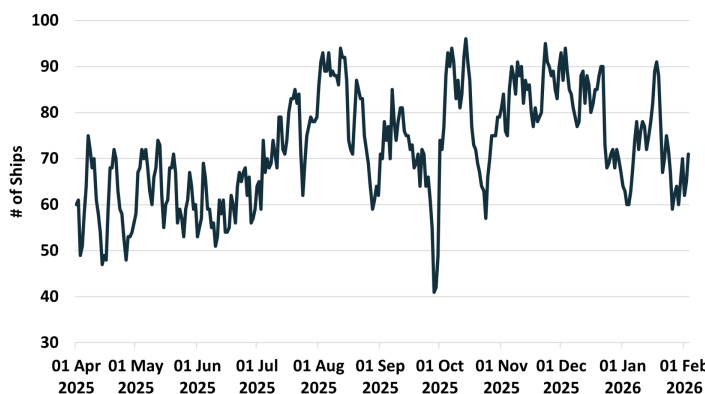
Copper Price Lead vs Kamsarmax 10-Year Old



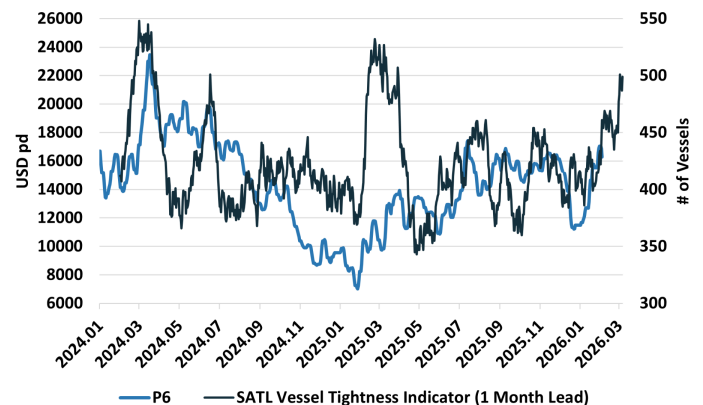
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



Vessels Heading to Indonesia



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



Supramax/Ultramax

Stable outlook in the near-term, we think, with Indonesia's export ban potentially causing a near-term dip. After the CNY we expect the market to rally.

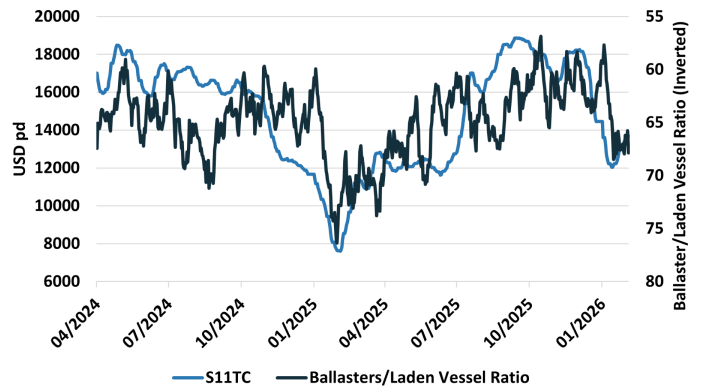
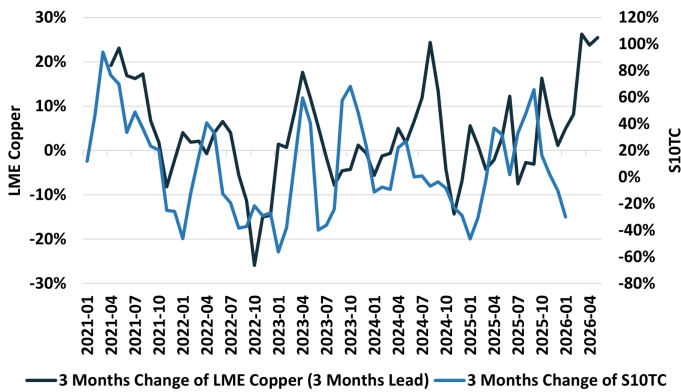
Top left chart: The three-month change in the price of copper looks very bullish for the coming months, and the three-month change of the S10TC index is still low.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

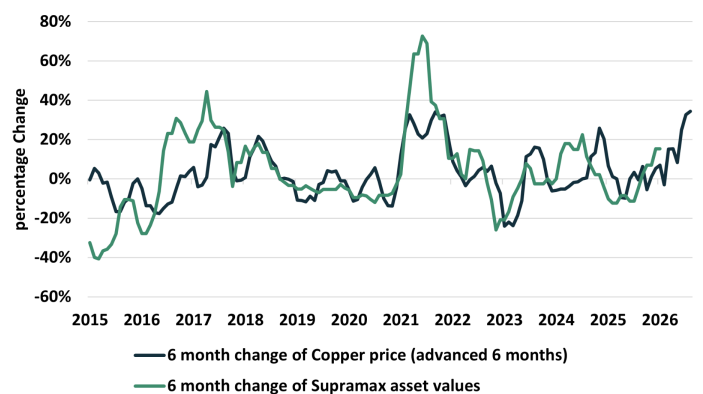
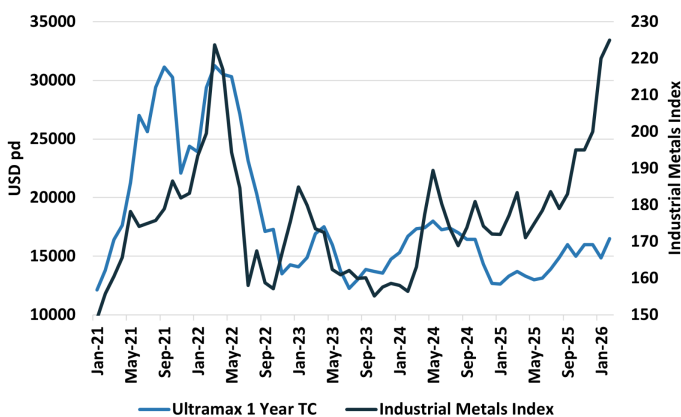
Bottom left chart: An industrial metals index including metals like Aluminium, Zinc and Nickel. This index has now surged passed the heights seen in Q1 2022. Can market levels climb to the same heights as back then, or even higher? We don't think so, but the highest *since* then is not unreasonable to expect.

Bottom right chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Industrial Metals Index vs Ultramax 1 Year TC Copper Price Lead vs Supramax 10-Year Old





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